

Succession

The Godrej family settlement, which has split the group in two, has received a thumbs-up from lawyers

BY KRISHNA GOPALAN

► **FAMILY SETTLEMENTS CAN** often be complicated, especially when business is involved. In the case of the 127-year-old conglomerate Godrej Group, it took over four years to conclude.

As part of the agreement, the group has been split vertically into two entities: Godrej Industries Group (GIG) and Godrej Enterprises Group (GEG).

18 | Adi Godrej and his younger brother Nadir get the newly formed GIG, which will house five listed companies—Godrej Industries, Go-

Executive Director.

On the GIG side, Adi Godrej's son Pirojsha, 43, who will be Executive Vice Chairperson of the group, will succeed Nadir as Chairperson in August 2026.

In a disclosure to the exchanges on April 30, the group spelt out the rationale behind the decisions. "The third and fourth generations of the family branches have diverse interests and varying perceptions as to, amongst others, the strategic direction, growth, and governance of the Godrej Group entities. The family

The brand and non-compete agreements entered into by the family groups pertain to the rights for adoption, use, ownership, and registration of the Godrej brand. "This shall ensure stability and continuity of the businesses carried out by each family branch and maintain harmony amongst the family groups," the exchange filing notes.

Nitin Potdar, M&A Partner at law firm JSA, says the Godrej family has been one that is extremely private. "They own a very strong brand with tremendous equity that spans across businesses. For as long as one can remember, the family has not been known for any serious dispute or difference of opinion in the public domain, and that has helped to protect the brand."

This is particularly important in the Indian context, as many business families have had painful and acrimonious separations. Potdar says the settlement in the Godrej Group "appears to have been done peacefully, amicably, and paves the way for succession planning within the group". He says this is an example of how family businesses should be managed "and a classic case that other Indian businesses should follow".

One of the big areas of interest is the land bank of more than 3,000 acres in Mumbai. A joint press release put out by Godrej & Boyce, the owner-developer, and Godrej Properties, the development manager, said the two companies will continue their memoranda of understanding for the development of the land.

Godrej Construction, a business of Godrej & Boyce, has designed and built four phases of Godrej Platinum, a residential project with a total constructed area of one million sq. ft, which has been marketed by Godrej Properties. Earlier this year, a new project named Godrej Vistas was successfully launched under this arrangement.

According to Ashish Kumar

GODREJ & BOYCE AND GODREJ PROPERTIES WILL CONTINUE THEIR MOUs FOR DEVELOPING THE LAND PARCEL IN MUMBAI

drej Properties, Godrej Consumer Products, Godrej Agrovat, and Astec Lifesciences. Nadir Godrej will be its Chairperson.

The other set of businesses will come under GEG, which will have the unlisted Godrej & Boyce, its affiliates, and a vast land bank in central Mumbai's Vikhroli. That has gone to Jamshyd Godrej and his sister, Smita Godrej Crishna, both cousins of Adi and Nadir Godrej. While Jamshyd will be its Chairperson, 42-year-old Nyrika Holkar, Smita Crishna's daughter, will be the

branches are desirous of ensuring harmony in the future amongst the succeeding generations of the Godrej family," it states.

To preserve mutual respect, goodwill, amity, and harmony and to manage diverse expectations and strategic directions desired by each family branch, "each branch head acting for himself and on behalf of the other members of his concerned family branch has agreed upon a family settlement arrangement by way of the family settlement agreement amongst the family branches."